

Hollins Medical

The discounted cash flow said \$62. The comparable companies said \$41. The stock was \$48. The investment committee met at four.

Hollins Medical operated a network of 340 clinical laboratories and 1,900 patient service centres across eighteen states, running routine and esoteric diagnostic testing for physician practices, hospitals, and two national health plans. Revenue was \$3,200 million. Operating margin was 14.0 percent and management's stated ambition was 19 percent within seven years, driven by automation in the core labs and a shift in mix toward higher-priced molecular and genomic assays.

Nadia Brzezinski had built the discounted cash flow. Revenue growing 5.5 percent a year, the operating margin rising on a straight line from 14.0 to 19.0 percent over seven years, reinvestment at 5.5 percent of revenue, a tax rate of 24 percent, a weighted average cost of capital of 8.4 percent, and terminal growth of 3.5 percent. Enterprise value \$6,458 million; less net debt of \$580 million; divided by 95 million shares; \$61.87.

Teodoro Salgado had built the comparables. Six regional and national lab operators, median enterprise value at 7.4 times EBITDA. Hollins' EBITDA was \$608 million. That produced an enterprise value of \$4,499 million and \$41.25 a share.

The two of them had spent a week trying to reconcile the numbers and had succeeded only in establishing that neither contained an arithmetic error.

Brzezinski's position was that the comparable set was the problem: four of the six peers were regional operators without Hollins' national health plan contracts or its molecular menu, and were not growing. Salgado's position was that a model which required a five-point margin expansion nobody had yet delivered was not evidence, and that the market's \$48 was closer to his number than to hers for a reason.

The committee chair had heard versions of this argument for twenty years and asked the only question that ever moved it forward.

"Forget what you each think it is worth. At \$48, what is the market assuming?"

Revenue, current	\$3,200m
Revenue growth, years 1–7	5.5%
Operating margin, current	14.0%
Operating margin, year 7	19.0%
Reinvestment	5.5% of revenue
Tax rate	24%
Weighted average cost of capital	8.4%
Terminal growth	3.5%
Enterprise value	\$6,458m
Net debt	\$580m
Shares outstanding	95.0m
Value per share	\$61.87

EXHIBIT 2 — SALGADO'S COMPARABLES

Median peer EV/EBITDA: 7.4×. Hollins EBITDA: \$608m. Implied enterprise value \$4,499m, equity value \$3,919m, \$41.25 per share.

Peer group: two national operators growing 4 to 6 percent with margins near 17 percent, and four regional operators growing 0 to 2 percent with margins of 11 to 13 percent.

ASSIGNMENT

- 1 Reproduce Brzezinski's enterprise value. Then compute the EV/EBITDA multiple her valuation implies for Hollins today, and compare it to the peer median.
- 2 Answer the chair's question three ways. Holding everything else at Brzezinski's assumptions, what terminal operating margin, what terminal growth rate, and what cost of capital does the \$48 market price imply?
- 3 Of those three implied values, which is the most useful thing to argue about, and why are the other two less useful?
- 4 Salgado's peer median mixes two national operators with four regionals. Build a defensible alternative comparable analysis and report what it produces.

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You have fifteen minutes with the committee. State your recommendation, the single assumption it rests on, and the observable fact that would cause you to reverse it.